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SAMSUNG ELECTRONICS AMERICA, INC.	)	
	)	
Complainant,	)	
	)	
v.	)	Docket No. 23-01
	)	
SM LINE CORPORATION	)	
	)	
Respondent.	)	
	)	

Complainant Samsung Electronics America, Inc. (“SEA”), by and through its undersigned counsel, pursuant to Rule 26(b)(5)(B) of the Federal Rules of Civil Procedure, submits this Motion for Determination of Claim of Privilege and Waiver of Same Concerning a Single Document Produced by Respondent SM Line Corporation (“SM Line”).

The Subject Document was (i) produced three (3) months earlier by SM Line; (ii) previously used as an exhibit in multiple depositions of SM Line witnesses beginning a month ago, during which the witnesses were questioned at length about the Subject Document, and no

objection of any kind was raised by the defending counsel; and (iii) examined and studied by or otherwise transmitted to various third parties.

Against this backdrop, assuming *arguendo* the Subject Document was once privileged, as more fully explained below, that privilege has been conclusively waived by SM Line.

FACTS

1. SM Line Produced the Subject Document Three (3) Months Ago, and Since Then, SEA Made Significant Use of the Subject Document

More than three months ago, on October 17, 2023, SM Line produced the Subject Document to SEA, which has a slip cover sheet for the spreadsheet listed with the designation: “CONFIDENTIAL-ATTORNEY’S EYES ONLY.” In a production of over 52,000 documents, over 3,200 have this confidential AEO designation by SM Line; the slip cover sheet for the Subject Document is one of them. There are no markings on the excel spreadsheet itself that have privileged markings. When pulling the metadata for the Subject Document, it has a title listed “privileged and confidential”.¹ Is it? No. Belying SM Line’s claim that the Subject Document was created in anticipation of litigation,” it was created by “Sung-Hoon Lee”, a non-attorney employee of SM Line’s System Maintenance Team on or about “4/27/2023 7:06 AM.”

The Subject Document contains raw data concerning SM Line’s demurrage and detention (“D&D”) charges in connection with SEA that are at dispute in this proceeding. There is no indication on the document that it was prepared by counsel or at the direction of counsel. Among other things, the document is not marked “privileged” or “attorney-work product.”

Since the document was produced, SEA and its consulting experts (*third parties*) have extensively relied on the Subject Document and information therein to ascertain and further develop SEA’s understanding of material facts in aid of prosecuting its claims. Likewise, SEA’s

¹ Decl. of SEA Counsel Kristine Little dated January 28, 2024; ¶¶ 4-7.

consulting experts have carefully analyzed the data in the Subject Document and helped create questions regarding same to be used in connection with depositions of several SM Line witnesses.

2. The Subject Document was Used as an Exhibit During Two (2) Depositions (One a Month ago and Another More Recently), Witnesses Were Questioned About it, and no Objection of any Kind was Lodged at That Time

On December 21, 2023 – more than a month ago – SEA used the Subject Document as an exhibit in the deposition of Sarah Lee, SM Line’s Manager, Accounting and Human Resources, Ms. Lee was questioned about the Subject Document, which was then submitted to a court reporter (*another third party*). At that time, three attorneys for SM Line (Messrs. DeOrchis, Chung, and Kielland) attended Ms. Lee’s deposition, and none of them raised **any** objections concerning the Subject Document, let alone claims of privilege or inadvertent disclosure, despite raising approximately 30 other depositions during the deposition. When Ms. Lee was questioned on the Subject Document’s contents, there was no indication of privilege or attorney involvement, and she mainly testified on its content and form.²

On January 17, 2024, the Subject Document was **again** used as an exhibit in the deposition of Ho-Yoon Kim, SM Line’s Chief Financial Officer, where Mr. Kim was questioned about the Subject Document, which two (2) translators (*another third parties*) also examined and then submitted to a court reporter (*another third party*) different from the one at Ms. Lee’s deposition a month earlier. Again, SM Line’s counsel Ms. Murphy did not raise any objections concerning the Subject Document, let alone claims of privilege or inadvertent disclosure, despite raising approximately 100 objections during the deposition. When Mr. Kim was questioned as to the

² **Exhibit 1**, Deposition of Sarah Lee Pg. 159:1 – 162:14 (Due to the shortness of time in filing this motion SEA is providing excerpt of the deposition of Ms. Lee but can provide the full deposition transcript to the Presiding Officer if so requested). In particular, she addressed the raw D&D data and only when SEA counsel tied it to SEA charges did counsel object in what appears to be an objection to the form of the question as “privilege” was never uttered, nor the witness advised to refrain from responding.

identity of the author of the document “Sung-Hoon Lee” he could not provide any information nor did SM Line counsel raise any objections at that time.³ Thus, by the time the depositions of Ms. Lee and Mr. Kim had concluded, 4 out of the 5 attorneys who had entered appearances for SM Line at the time had seen the Subject Document used as deposition exhibits, and none had raised any privilege concerns.

3. SM Line Ambushed SEA’s Examination of Mr. Choi About the Subject Document by Raising a Privilege Claim at the Very Last Minute Without Any Support

On January 18, 2024, the day of the deposition of KK Choi in his individual capacity, SM Line raised for the first time in an email time-stamped 10:04 a.m. for a 10 a.m. deposition that the document was allegedly inadvertently disclosed and was created in anticipation of the litigation.⁴ The notice lacked any explanation of this “clerical error” and instead claimed:

Good morning Mr. Yoon and fellow counsel,

It has come to my attention that one of the documents, namely document bearing bates number SML_0156832, that has been presented as an exhibit was created in anticipation of litigation at the request of counsel. Due to what we can only assume to be clerical error, this document was inadvertently produced and is surely privileged. Accordingly, we request that you cease any review or use of the document, that no copies be made and that the document be returned or destroyed immediately pursuant to FRE 502. Please provide written confirmation of the same. Further, we write to advise you that the document should not be produced in future depositions, nor will any questions regarding this document be permitted. Thank you,

Katie

In response, SEA (i) explained its position that SM Line’s privilege claim is meritless based on its review of the Subject Document, its metadata, and case law; (ii) stated that the timing of sharing the notification during Mr. Choi’s deposition was intended to thwart SEA from asking Mr. Choi many questions prepared by SEA’s consulting expert on the Subject Document; and (iii) requested that SM Line withdraw its foundationless and untimely privilege claims.⁵

³ **Exhibit 2**, Deposition of Ho-Yoon Kim Pg. 138:3 – 139:20 (Due to the shortness of time in filing this motion SEA is providing excerpt of the deposition of Mr. Kim but can provide the full deposition transcript to the Presiding Officer if so requested). In particular, counsel for SEA asked a range of questions as to the deponents’ knowledge of the data, its purpose, and use but he did not have knowledge of it.

⁴ **Exhibit 3** (January 18, 2024, 10:04 AM email).

⁵ **Exhibit 4** (January 21, 2024 email from C. Nolan).

4. The Parties Met and Conferred, and Despite the Promise of Providing Adequate Explanation of its Position, SM Line Failed to do so

On January 25, 2024, counsel for the parties met and conferred to discuss, among other things, the alleged privilege claim concerning the Subject Document. At that time, citing the need to consult internally and with the client, counsel for SM Line could not provide any other information supporting its claims as to (i) how the Subject Document is privileged or otherwise immune from disclosure; (ii) how it was produced due to the “clerical error”; (iii) what precautions, if any, were implemented to prevent its disclosures, and (iv) how its 10:04 a.m. January 18 email notification was SM Line’s “prompt” attempt to rectify its error. Instead, SM Line claimed that the counsel of record defending the deposition of Ms. Lee and Mr. Kim had never seen the Subject Document before and, therefore, did not recognize them at all, much less its allegedly privileged nature.⁶ At the end of the meet and confer, SM Line committed to providing adequate explanations and its official position by the morning of January 26, 2024. No response was received as of this Motion.

ARGUMENT

When considering if a claim of privilege under Federal Rule of Evidence 502 is valid, a court must first determine whether the disclosed material is privileged. If it is not, the inquiry ends. If the material is privileged, the court applies FRE 502(b). If the court concludes that the disclosing party has satisfied all of the elements in FRE 502(b), the privilege is not waived. If, however, the disclosing party fails to satisfy any of the FRE 502 elements, the privilege is waived. Under FRE 502(b), “[w]hen made in a federal proceeding or to a federal office or agency, the disclosure does not operate as a waiver in a federal or state proceeding if:

(1) “the disclosure is inadvertent”;

⁶ Decl. of K. Little, ¶ 11.

- (2) “the holder of the privilege or protection took reasonable steps to prevent disclosure”; and
- (3) “the holder promptly took reasonable steps to rectify the error, including (if applicable) following Federal Rule of Civil Procedure 26 (b)(5)(B).”

Fed. R. Evid. 502(b). In conducting this analysis, courts will consider the reasonableness of precautions taken; the time taken to rectify the error; the scope of discovery; the extent of disclosure; and the overriding issue of fairness. *See, e.g., U.S. v. Citgo Petro. Corp.*, CR. No. C-06-563, 2007 WL 1125792, at *2 (S.D. Tex. Apr. 16, 2007); *Sidney I. v. Focused Retail Prop. I, LLC*, 274 F.R.D. 212, 216 (N.D. Ill. 2011); *Riverio-Calder v. Cooperativa de Ahorro y Credito de Aguiladilla*, No. CIV. 11-1702CCC, 2013 WL 503965, at *3 (D.P.R. Feb. 8, 2013).

The Ex. 3, January 18 email claiming “privilege,” addresses the Subject Document citing the work-product privilege, an immunity which protects from discovery by the opposing party, if not waived, “documents and tangible things that are prepared in anticipation of litigation or for trial.” Federal Rule of Civil Procedure 26(b)(3)(A). “A waiver of work product protection occurs when the covered materials are used in a manner that is inconsistent with the protection[,] . . . [such as] when work product materials are either given to an adversary or used in such a way that they may end up in the hands of an adversary.” *Bank of Am., N.A. v. Terra Nova Ins. Co.*, 212 F.R.D. 166, 170 (S.D.N.Y. 2002); *see also S.E.C. v. Beacon Hill Asset Mgmt. LLC*, 231 F.R.D. 134, 146 (S.D.N.Y. 2004) (“Disclosure of work-product material . . . results in a waiver of the protection only when the disclosure is to an adversary or is made in a manner that materially increases the likelihood of disclosure to an adversary.”); *S.E.C. v. Brady*, 238 F.R.D. 429, 444 (N.D. Tex. 2006) (waiver of privilege only results if the work product is disclosed to an adversary).

In this context, “[t]he party claiming privilege also carries the burden of showing that it has not been waived.” *Hollis v. O’Driscoll*, No. 13-CV-01955-AJN, 2013 WL 2896860, at *1 (S.D.N.Y. June 11, 2013). Because “enforcement of a claim of privilege acts in derogation of the

overriding goals of liberal discovery and adjudication of cases on their merits . . . privileges are disfavored and generally to be construed narrowly.” *Bowne of New York City, Inc. v. AmBase Corp.*, 150 F.R.D. 465, 473 (S.D.N.Y. 1993). For reasons set forth below, SM Line fails to meet any of the requisite elements for a valid work-product immunity claim over the Subject Document.

1. Assuming Privilege Over the Subject Document, SM Line Has Waived it

a. SM Line Has Not Established That The Disclosure Was Inadvertent

SM Line voluntarily produced the Subject Document during the normal course of discovery; and for months, SM Line had a chance to claw it back, but failed to do so. After the Subject Document was first produced on October 17, 2023, SEA introduced the Subject Document as an exhibit for deposition on December 21, 2023, and SM Line again said nothing. Instead, SM Line allowed SEA to continue to use the Subject Document in depositions, and only raised the issue a day before fact depositions were scheduled to conclude.

SM Line’s “assum[ption]” that its production is “clerical error” is meritless. SM Line’s privilege claim strains credulity, especially given that the party claiming the disclosure was inadvertent has the burden to prove these elements. *Hatfield v. Cottages on 78th Cmty. Ass’n*, No. 2:19-cv-00964, 2020 WL 1955223 at *3-4 (D. Utah Apr. 23, 2020).

b. SM Line Failed To Take Reasonable Steps To Prevent Disclosure

A waiver finding is warranted here with respect to the Subject Document because SM Line has failed to take reasonable steps to prevent its inadvertent disclosure in October 2023. *See Huawei Techs. Co. v. T-Mobile US, Inc.*, No. 216CV00055JRGRSP, 2017 WL 7052467, at *2 (E.D. Tex. Oct. 19, 2017); *see also Sidney I.*, 274 F.R.D. at 216–17 (courts typically start the inquiry with the procedure Plaintiffs followed to prevent disclosure of the privileged material); *Thorncreek Apartments III, LLC v. Vill. of Park Forest*, No. 08 C 1225, 2011 WL 3489828, at *7

(N.D. Ill. Aug. 9, 2011) (holding an email written by the producing party’s counsel explaining that it “spent countless hours reviewing” a relatively large amount of documents and marked each document either “responsive,” “non-responsive,” or “privileged” in its database was insufficient of the “level of description” necessary for an adequate account of its review procedure).

SM Line witnesses’ deposition testimony revealed that SM Line counsel purely relied on employee self-collection through the use of certain search terms, which have not been disclosed to SEA counsel. Compilation of the documents was managed by a single employee without any assistance from SM Line’s Information Technology Department or a third-party e-discovery vendor.⁷ At the January 25, 2024, meet and confer SM Line counsel assured SEA that the production and review of the documents was proper, but when SEA counsel questioned if SM Line outside counsel had actually reviewed the SM Line production, counsel could not provide an unequivocal “yes,” only stating that the presumably self-collection process was “interactive.”⁸

c. SM Line Failed To Promptly Take Reasonable Steps To Rectify The Error

Rule 502 requires the producing party to “follow up on any obvious indications that a protected communication or information has been produced inadvertently.”⁹ The ruling in *Maier Terminals LLC v. Port Authority of New York and New Jersey*, Order dated July 23, 2010 (FMC Dkt. 08-03), is particularly instructive as it makes plain that SM Line has no basis to maintain its belated privilege claim over the Subject document. (finding that Defendant failed to act promptly to rectify when the document in question was produced 41 days before the return request, and Defendant waited 14 days to make that request after first learning its allegedly privileged

⁷ **Exhibit 5**, Deposition of YeonHui Yi, Pg. 87:6-89:2. (Due to the shortness of time in filing this motion SEA is providing excerpt of the deposition of Ms. Yi but can provide the full deposition transcript to the Presiding Officer if so requested).

⁸ Decl. of K. Little, ¶ 12.

⁹ FRE 502(b) advisory committee’s note.

nature); *Preferred Care Partners Holding Corp. v. Humana, Inc.*, 258 F.R.D. 684, 699-700 (S.D. Fla. 2009) (three-week lag time to assert a privilege weighed in favor in finding a waiver of privilege); *see also Stewart Title Guar. Co. v. Owlett & Lewis, P.C.*, 297 F.R.D. 232, 241–42 (M.D. Pa. 2013) (the producing party “failed to follow up on any obvious indications that a protected communication or information has been produced inadvertently” when the producing party’s attorney failed to instruct the deponent not to answer questions concerning the privileged material and failed to have enlisted the court’s assistance to resolve the issue”); *Kaiser v. Kirchick*, No. CV 21-10590-MBB, 2022 WL 182375, at *9 (D. Mass. Jan. 20, 2022) (reasoning that “the passage of time before” the privilege claim was “indicative of negligence, not diligence”).

While Rule 502 does not require “the producing party to engage in a post-production review to determine whether any protected communication or information has been produced by mistake, the Rule does require the producing party to follow up on any obvious indications that a protected communication or information has been produced inadvertently.”¹⁰ SM Line idly sat on its hands and failed to raise its privilege objection (if one existed in the first place), even after the Subject Document was used **twice** as a deposition exhibit and has been disseminated to multiple non- or third-parties. Here, the document was used as a deposition exhibit in the presence of four out of five SM Line counsel who had entered appearances, and none raised any privilege concerns during the depositions. *See SurfCast, Inc. v. Microsoft Corp.*, No. 2:12-cv-333-JAW, 2013 WL 4039413, at *4-*5 (D. Me. Aug. 7, 2013) (waiver found as to privileged e-mail where counsel failed to object to use during deposition); *Crossroads Sys. (Texas), Inc. v. Dot Hill Sys. Corp.*, No. A-03-CA-754-SS, 2006 WL 1544621, at *2-*3 (W.D. Tex. May 31, 2006) (privilege over document waived where counsel failed to object to its use at deposition); *see also Sidney I.*, 274

¹⁰ Fed. R. Evid. 502, Judicial Conference Advisory Committee on Evidence Rules, revised Nov. 28, 2007.

F.R.D. at 217 (privilege was waived when, despite ample opportunity, the producing party failed to raise a privilege objection at the deposition).

SM Line has failed to act promptly and has allowed 93 calendar days to lapse since it produced the document from when it notified SEA that the Subject Document had been inadvertently produced. Even assuming SM Line did not become aware that the Subject Document had been inadvertently produced until depositions commenced, it cannot claim acting promptly when allowing more than 30 days to lapse from the first deposition.

d. Fairness Considerations Dictate Waiver

The Subject Document is a data compilation of D&D charges with observations which SEA has analyzed carefully and sought testimony on its import for use with experts and ultimately explaining Shipping Act violations for overcharging SEA. Fairness dictates its continued used.

CONCLUSION

SEA respectfully requests that the Presiding Officer find that the any purported privilege of the Subject Document has been waived by SM Line.

Respectfully submitted,

Dated: January 28, 2024

HOLLAND & KNIGHT LLP

By: /s/ Christopher R. Nolan

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CERTIFICATE OF SERVICE

The undersigned hereby certifies that on the execution date which appears below, the undersigned served the attached document on counsel at the following email addresses:

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